

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Winning Group Limited ("the Group") is a listed company on the Hong Kong Stock Exchange that has been engaged in the travel agency business for 20 years. The Group also operate different kinds of businesses in Hong Kong and mainland China. The Group is a registered travel agency under the Travel Industry Ordinance in Hong Kong. The travel agency business has been adversely affected by the pandemic over the past few years, and the Group relies on loans and other companies to operate their businesses continuously. The Group wants to consolidate their businesses after the pandemic so that they can focus on developing their travel tour business in Hong Kong, mainland China, and through a new travel agency company in European countries. The Group sees continuous growth opportunities in the travel agency business in European countries, but they are cautious in developing their European travel agency alone, so they want to acquire a travel agency in London to kick-start the business.

The Group is planning to acquire 51% of a family-owned travel agency group called Joyful Limited ("Joyful") in London. Joyful has been operating successfully by Mr Wong, the family owner, and his family members for the last 20 years. Over those 20 years, Joyful has gained a good reputation and is now considered a strong brand in the travel agency business in Europe. Mr Wong believes that he can sell Joyful at a premium price in return for his efforts and success and he wants to keep the remaining 49% of Joyful after acquisition. Due diligence has been completed with limited support from Mr Wong and his family members. It seems that Mr Wong's primary objective for conducting the due diligence process is to obtain a valuation of Joyful rather than to sell it in the future.

Joyful has been operating under a relaxed family-owned culture and has not been involved in complicated legal compliance issues before. Even though Joyful suffered financially during the pandemic, Mr Wong has a very positive view of the development of a travel agency business, particularly in Eastern Europe.

Both Joyful and the Group are aware of operating capacity issues, including human resources, that could hinder business growth, but they do not know how to achieve operation and business synergies after the acquisition. To operate and manage the business, Joyful has been using an in-house developed information system, while the Group has been using a sophisticated enterprise resource planning system. According to the chief information officer of the Group, it is very costly to integrate the two systems and impossible to do so in a short period of time.

The Group has a subsidiary that is a private company called Success Limited ("Success") which was set up to manufacture accessories for travel tours and to print travel tour materials. During the pandemic, Success successfully changed their manufacturing business to packing and distribution of COVID medical packages to patients who were under quarantine. The business has been expanding to deliver food and medicine to restaurants and hospitals for patients and other customers who need food and medicine delivery services. The Group wants to dispose of Success and use the proceeds to focus on developing a travel agency business in Hong Kong, mainland China and Europe. The following summarizes Success's financial information:

	Year 2022	Year 2023
<u>Financial information</u>	<u>HK\$m</u>	<u>HK\$m</u>
Accounts receivable	200	400
Inventory	400	600
Accounts payable	200	300
Accrued expenses	300	100
5% Long term bank loan	100	400
Property, plant and equipment	300	500
Accumulated depreciation	100	200
Net income		800
Estimated Free Cash Flow in 2028		500
<u>Other information</u>		
Profits tax rate		16.5%
Weighted Cost of Capital		20%
Number of shares		2,000,000

The Group has another subsidiary called Protection Limited ("Protection"), which manufactured masks during the pandemic. The operation was financed by bank loan, with corporate guarantee from the Group. Protection leased manufacturing equipment from suppliers to manufacture masks. Initially, it made a small amount of positive cash inflow due to equipment suppliers allowing Protection to defer paying monthly rent for the past three years. After the pandemic, the equipment supplier issued legal collection letters to urge Protection to repay all outstanding rental payments immediately, otherwise they would take back the manufacturing equipment and sue Protection without negotiation. The bank notes the financial situation of Protection and wants to recall the bank loan without further negotiation. Based on the existing financial situation, Protection is not able to repay loans to the bank and outstanding payments to the suppliers. Due to strong competition in the masks market, the Group has decided not to further invest in Protection. The following is some of Protection's key financial information for the year 2023:

<u>Unaudited financial information</u>	<u>HK\$m</u>
Working capital	0.5
Total assets	1
Retained earnings	(4)
Earnings before taxes and interest	0.5
Share capital	0.5
Sales	4

Environmental, social, and governance ("ESG") issues have been a hot topic in the travel business, but they are rather new to the Group. The Group considers that they have fulfilled ESG responsibilities by donating to charitable organisations. The internal audit department has found that the Group has been printing hard copies of itineraries, invoices, and receipts to customers, which has increased printing and operating costs. Electricity bills have also increased due to a rise in the usage of air conditioners. Since the government has been encouraging citizens to visit geoparks and marine parks that are protected under environmental laws, the Group is required to apply for approval and licenses to take citizens on ecotours to protected and restricted areas in such parks. The tourism industry has been losing a lot of experienced and qualified tour guides due to low salaries and benefits, lack of training and career development, and accidents. The Group is facing the same problems, so it has to consider how to hire experienced and qualified tour guides to develop their new ecotours business.

Question 1 (10 marks – approximately 18 minutes)

Acting as the financial controller of the Group, write a memo to the Board of Directors to identify and explain issues that should be addressed in the acquisition of Joyful Limited. Advise the Group on how to resolve these acquisition issues.

Note: A maximum of 2 marks for communication skills will be awarded.

(10 marks)

Question 2 (15 marks – approximately 27 minutes)

Using TWO valuation models, calculate the valuation amounts and value per share of Success Limited and recommend which of the valuation models should be used to value Success Limited for disposal.

Note: A maximum of 2 marks for analytical skills will be awarded.

(15 marks)

Question 3 (15 marks – approximately 27 minutes)

(a) Evaluate, with calculations, and discuss the solvency situation of Protection Limited.

(4 marks)

(b) Based on your evaluation in Question 3(a), advise the Board of Directors of Protection Limited on ways to handle the above situation.

(6 marks)

(c) Discuss ethical principles that professional accountants working in Protection Limited should follow when handling the situation.

(5 marks)

Question 4 (10 marks – approximately 18 minutes)

Identify and explain ESG factors that could affect the operation of the Group and its new ecotours development. Evaluate the potential impacts of these ESG factors on the Group's cash flow.

(10 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (18 marks – approximately 32 minutes)

Andes Technology Limited ("Andes") is a startup technology company focusing on the research and development of artificial intelligence ("AI") and its applications. Andes requires huge capital expenditure as well as ongoing research and development costs, and Andes relies on external debt to finance its new projects and research. The current debt-to-equity ratio is 0.25 and the beta of Andes is 1.5 under the current gearing level.

The current interest rate before tax of debt issued by Andes is 8% p.a. Considering the AI industry is becoming more competitive, Andes is considering speeding up their research and development by investing more into this area, and to do so, Andes is going to issue a new debt which would bring their debt-to-equity ratio up to 0.3.

The market portfolio expected return (i.e., market risk premium) for similar technology companies is 12%, and the risk-free rate is 5% with a corporate tax rate of 16.5%.

Required:

- (a) Calculate the leveraged beta of Andes after issuance of the new debt, and use the capital asset pricing model ("CAPM") approach to calculate the cost of equity after issuing the new debt.
(6 marks)
- (b) Assuming Andes managed to issue the new debt at the current interest rate of 8% p.a., calculate the weighted cost of capital of Andes after issuing the new debt.
(6 marks)
- (c) Debt covenants are usually applied during the issuance of debt to protect the lender's interest and to ensure the borrower's compliance with specified operational and financial requirements. Without analysis, recommend THREE affirmative (or positive) reporting covenants and THREE financial covenants which may be applicable to this case.
(6 marks)

Question 6 (18 marks – approximately 32 minutes)

Aqua is a car manufacturer based in the United Kingdom ("UK") that manufactures cars in the UK and then sells them around the world, with mainland China being Aqua's largest market. Aqua sells their cars to mainland China through local distributors, and they bill them in the local currency (i.e., CNY and JPY) at a pre-agreed price. The credit terms agreed to with local distributors are three months. The current exchange rate of GBP to CNY is 8.1, and Aqua used to hedge their accounts receivable exposure using a 3-month forward contract with a bank.

In order to strengthen their market footprint in Asia, Aqua has set up their own repair centre in Singapore. The initial capital expenditure is SG\$3 million, and Aqua expects that this capital expenditure could be paid back via the positive cash flows generated in Singapore after one year. Thus, Aqua has obtained a one-year bank loan that started from January in SGD to cover this initial capital expenditure. The interest on the loan is 1-month SIBOR plus 1% p.a., with compound interest calculated every month and payable at the end of the year. Aqua's treasury department expects the SIBOR to go up in the coming months, so they are considering hedging their interest rate risk exposure with an interest rate swap.

Required:

- (a) Aqua hedges their accounts receivable exposure with a bank using a 3-month forward contract at an exchange rate of GBP to CNY of 8.3. The current exchange rate of GBP to CNY is 8.1. While considering whether to continue hedging the exposure, Aqua was made aware of the following:
- The Bank of England will increase the interest rate of GBP by 2.25%, from 0.25% to 2.5%; and
 - The CNY interest rate will remain at 3.7%.
- (i) Using the Fisher formula, calculate the theoretical 3-month forward contract rate without any margin, and calculate the margin charged by the bank. (3 marks)
- (ii) Assuming there will be no change in the margin charged by the bank on the forward contract, calculate the 3-month forward contract rate after the increase in GBP interest rate. (4 marks)
- (b) Without calculation, contrast and evaluate if Aqua can use interest rate futures to hedge the exposure instead of using an interest rate swap for set up their own repair centre in Singapore. (5 marks)
- (c) The risk management department of Aqua is considering whether to continue hedging their accounts receivable exposure for foreign exchange losses (i.e., downside risk) in the long run. Apart from hedging, identify TWO approaches (i.e., risk response options) and explain what Aqua may do under each option to address this kind of downside risk. (6 marks)

Question 7 (16 marks – approximately 29 minutes)

Regent Fashion Limited ("Regent") is a multi-national corporation based in the United States selling to the world ready-to-wear fashion products including handbags and accessories under its own brand "Regent". Regent manufactures their products in the United States and Europe in their own factories.

Regent has grown successfully in the past 10 years during which their revenue grew six times. Mainland China has become their biggest market and contributes to 40% of the total business globally.

Regent established a wholly owned subsidiary, "Regent China", in mainland China seven years ago and started the setup of their point of sales (i.e., flagship stores to sell their products to end customers directly). Nevertheless, 50% of their business is still through wholesale, wherein Regent China sells to retailers such as department stores and chain stores with a standard 60-day credit term. Regent China is aware there is a credit risk with some of their retailers as the department stores are owned by property developers who are facing serious liquidity issues.

Regent has suffered from geopolitical tensions in recent years, and they consider geopolitical risk as one of their biggest risks.

Regent recently set up a new treasury department and are considering if they should move the existing insurance function under the treasury department.

Required:

- (a) Explain the role of the treasury operations (i.e., the treasury department) regarding the management of insurers relationship.**

(2 marks)
- (b) Advise Regent of the rationale for moving the insurance management function under the treasury operation.**

(5 marks)
- (c) Regent considers credit risk and political risk as the TWO biggest risks that they should address. Advise on how to mitigate such risks.**

(7 marks)

* * * END OF EXAMINATION PAPER * * *